

Luxury good taxation proposals

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1 Introduction

There are strong economic reasons (reviewed briefly below) for why taxing luxury goods at a higher rate than other goods will raise social welfare. However, if countries decide individually on their luxury good taxes then there are strong tax competition forces pushing luxury good taxation down. For portable luxury goods, countries have an incentive to lower luxury good taxes to attract and retain shoppers, thereby gaining other indirect tax revenue from their non-refundable spending on on-site consumption of other goods and services. For non-portable luxury goods that are taxed based on residence (e.g. luxury cars), there is an incentive for countries to lower the tax rate in order to attract more (internationally mobile) high earners. In the case of the post-Brexit abolition of VAT refunds in the UK, these spillover effects became very visible for the case of portable luxury goods whose sales shifted substantially to other countries, including continental Europe.

This suggests that luxury good taxes are promising as an EU own resource, given that such a common tax could correct a distortion created by tax competition. Even if individual EU countries find it optimal for themselves to not introduce luxury good taxes, they might still find it in their interest to vote in favor of a EU-wide luxury tax, given that this will prevent them from losing shoppers or residents to other EU countries. Put differently, each EU country benefits from other EU countries' luxury good taxation via more increased shoppers/residents displaced to them. Thus voting for an EU-wide luxury tax is more attractive.

We will argue that there are advantages to the "bundled approach" of introducing an EU-wide luxury tax to fund the EU budget as compared to the "separated approach" of introducing mandatory minimal luxury taxes and increasing the EU budget via the traditional GDP-based contributions. In other words, we will argue that the two problems, "tax competition leading to undertaxation of luxury" and "unanimity constraints leading underprovision of funding for the EU" can best be addressed via a single mechanism, namely an EU-wide luxury tax to fund the EU budget.

2 The case for luxury taxation to compensate for lack of progressivity in income and wealth taxation

Luxury consumption is correlated with high income. As a result, luxury taxation is progressive and thus to the extent that the status quo tax system is insufficiently progressive luxury taxation looks promising. However, a standard objection to this argument is that the status quo tax system is a result of historical learning and societal deliberation, trading off the benefits of progressivity with its costs. Progressive luxury taxation reduces the work incentives in a way similar to how a

progressive income tax does. It also makes it less attractive for high earner to stay in or move to the country with the progressive taxation. The clearest theoretical distillation of this argument is provided by (Kaplow 2016) under some technical assumptions: any redistribution achieved via a tax reform making commodity taxation progressive can be achieved more efficiently by instead equalizing tax rates across all goods and directly making the income taxation more progressive.

The Kaplowian argument stands on firm grounds when discussing unilateral national tax policy in a given country. Importantly, the Kaplowian conclusion doesn't require work disincentive effects to be the primary force limiting the optimal taxation of income. In fact, there is a more straightforward argument in the case where international mobility of high earners is the primary force limiting the degree of progressivity that is optimal from national perspective with unilateral tax policy: progressive commodity taxation is similar to progressive income taxation in decreasing a country's attractiveness for high earners. So to maintain a given level of attractiveness a country is best off taxing commodities at the same rate to leave consumption choices undistorted and to adjust the income tax to the highest level of progressivity compatible with maintaining the targeted level of attractiveness for the high earners.

However, when it comes to discussing optimal EU-wide taxes, these arguments have to be qualified. In fact, precisely because the progressivity of income taxation has been eroded due to tax competition for the internationally mobile high earners, particularly in the EU (Kleven et al.), luxury good taxation can potentially play an important role in partially mitigating this lack of progressivity. It could be retorted that, again based on a Kaplowian perspective, there should instead be a progressive EU-wide luxury tax. However, agreeing on a common base for such a tax seems to be a daunting challenge. The complexity involved has been well recognized by the most prominent proposals for an EU wide additive tax on high incomes: (<https://tdem.eu/en/the-manifesto-for-the-democratization-of-europe/>) proposes to create a new legislative body, parallel to the European Parliament, to deliberate on such complex fiscal questions. In comparison to this, agreeing on a set of goods to be defined as "luxury" for the purposes of an EU-wide additive tax for EU own resources seems relatively straightforward.

Moreover, progressive commodity taxation has an added benefit compared to progressive income taxation: it also acts partly like a progressive tax on wealth, given that luxury spending is positively correlated with wealth and decreases the purchasing power of the wealth (ref). Thus the lack of progressivity of wealth taxation arising from the international mobility of people with high wealth (ref) provides a further rationale for progressive commodity taxation. Importantly, this form of quasi-wealth redistribution does not affect incentives to save or invest, in contrast to an actual tax on wealth. As a result, many of the concerns that have lead to opposition to wealth taxation (see e.g. the recent discussion in France) do not apply to luxury taxes. In addition, luxury taxation does not reduce private philanthropy, in contrast to progressive taxes on income and wealth.

Determining the optimal taxation of luxury goods based on these progressivity-grounded considerations is a challenging task beyond the scope of this report. Instead we will derive normatively optimal tax rate under a very conservative approach that disregards the arguments grounded in progressivity just made. Our approach, explained in the next section, focuses entirely on a different rationale for luxury taxation, namely signaling and status externality effects. This approach, as we will see, highlights also that even if the optimal progressivity of income and wealth taxation was achieved at the EU level, substantial EU-wide additive luxury taxes would remain efficiency enhancing. However, before explaining the optimal luxury taxation given signalling and status externality effects, we shall briefly discuss how developments in AI could alter the role of luxury taxation.

2.1 The role of luxury taxation in the presence of labor-substituting AI

Rapid recent developments in AI technology make it plausible that the labor share will decline in the near future, potentially at a rapid pace (ref). The capital share that has historically been relatively stable at about 1/3 would then likely increase by corresponding amounts, given that the share accruing to land and resource is unlikely to increase beyond its modest historical level.

Such a development would have several implications. Firstly, it will decrease the progressivity of the tax system, given that capital ownership is much more concentrated and capital taxation is less progressive. This increases the benefits from progressive commodity taxation. Secondly, it will decrease the cost of progressive commodity taxation, given that human work incentives are less important in a world where most human labor has been replaced by AI (<https://www.nber.org/papers/w34873>).

Given that thus the benefits of luxury taxation increase and its costs decrease, the optimal level of luxury taxation will increase in such a scenario. However, this is in no way a guarantee that luxury taxation will in fact increase to anywhere near the optimal extent. In fact, the arguments just mentioned apply to a coordinated world. In the current fragmented world with strong tax competition, unilateral national luxury taxation might remain low or even absent. Establishing at least a modest EU-wide luxury tax could enable the EU countries to react quickly to labor-substituting AI by increasing the luxury tax rate to potentially very high levels.

Future AI development could likely pose large existential risk (ref). International cooperation will likely be critical for reducing these risks. These questions are of course well beyond the scope of this report. However, we shall note that broad improvements in international cooperation could play a non-negligible role in reducing the risks. Institutional arrangements such as EU-wide taxes (including on luxury) could both increase the EU's available resources for supporting potential international AI governance regimes, a truly global public good. Moreover, it could help mitigate the upheavals brought by rapid displacements of humans from the labor market by at least enabling some redistribution¹ to cushion the material consequences associated with job loss, thereby contributing to societal stability. By already establishing EU-wide taxes for EU-own resources today, we could at least give future politicians some more bandwidth and tax revenue to deal with the critical questions of AI governance that will arise if and when AI systems start closing a self-improvement loop that could plausibly lead to a century of technological progress in a decade or less (Makaskill & Moorehouse), with all the associated governance challenges.

3 Optimal luxury taxation based on signalling or status externalities

A further rationale for taxing luxury goods arises due to signaling and status externality effects. In the case of some luxury goods, there is strong evidence that a part of the motivation for purchasing the goods is derived from the information that it reveals to others (e.g. about the consumer's wealth/income, about the person's commitment in case of a gift). This information revelation still happens when the tax on the luxury goods gets increased. In the extreme case of a "pure

¹The likely effect of adding new EU own resources is a mixture of increased EU budget and substitution for the GDP-based contributions. The impact of an increase in the EU budget is mixture of increased international public good provision and effective transfers to member states, given that most of the EU funding for e.g. cohesion policy projects is fungible with funding via the national budget, thus effectively freeing up money from the national budgets. Thus overall the impact of EU own resources is at least in part to increase the disposable tax revenue for member states, thereby allowing them to do more domestic redistribution.

diamond good" (Ng) where the information revelation is the only motive, any increase in the tax is beneficial as it results functionally in the the same outcome (information transmission) with less resources being spent. In the more realistic case of an impure diamond good where the information transmission motive co-exists with the intrinsic enjoyment of the good there exists a finite optimal tax rate.

A related alternative model posits that luxury goods generate status benefits (e.g. via signalling of wealth or income) to the consumer but that these status benefits are fixed-sum in the aggregate. Thus luxury consumption creates a classical externality that needs a Pigovian tax for correction. It turns out that for empirically plausible elasticity values, the optimal tax rate on luxury goods is similar in this status externality model as in the partial diamond good model. For reasons of tractability, we report the results for the status externality model are derived by Xie (2026, forthcoming).

The critical (and, admittedly, hard to estimate) parameter for the calculation of the optimal tax on luxury goods turns out to be the answer to the following question: Per dollar spent on a luxury good, what is the number ϕ of dollars in benefits that a person derives from the status benefits that the consumption confers to her (e.g. via signaling of wealth and income)? In general, it is difficult to estimate this parameter. However, Bursztyn et al. (2018) exploits a rare opportunity to do that: in a randomized experiment, consumers were offered two types of functionally equivalent platinum credit cards, one type where this is visible and one type where it is not. The experiment implies $\phi = 1/3$.

From Xie (2026, forthcoming), we obtain the following simple formula for the optimal tax t_{luxury} on luxury as a function of the tax $t_{othergoods}$ prevailing on other goods, the prevailing markups and the status parameter ϕ which give how many dollars a person derives as status benefits per dollar spent on a luxury good:

$$1 + t_{luxury} = (1 + t_{othergoods}) \frac{1}{1 - \phi} \frac{1 + markup_{othergoods}}{1 + markup_{luxury}}$$

We obtain the result $t_{luxury} = 0.42$ for the following estimates from Xie (2026):

$$t_{othergoods} = 0.18, \phi = 1/3, markup_{othergoods} = 0.12, markup_{luxury} = 0.4$$

Under this calibration, we thus obtain that luxury goods should be taxed at 42%. This calculation has not taken into account the other above-mentioned rationales (beyond status effects) for taxing luxury goods. Therefore, it should be considered a conservative estimate for the optimal tax on luxury goods. If we were to account for the fact that the progressivity of wealth and income taxes has been eroded due to tax competition and that luxury good consumption is correlated with high income and wealth then we would arrive at potentially much higher estimates for the optimal tax on luxury goods.

4 The self-interested case for the EU to tax luxury consumption at higher rates than other goods

The above-mentioned rationales for taxing luxury consumption at higher rates than other goods apply for each country individually. The population of each country benefits when status externalities (which plausibly arise primarily due to comparisons of people with a given country where they live) are taxed and thereby corrected.

However, there are 3 additional effects that arise for any given country's calculation of how to set its luxury tax (on luxury purchases on its own territory) to maximize its own welfare:

1) The profits arising due to the mark-ups on the luxury goods and services partly accrue to people in other countries.

2) A part of the luxury consumption is done by visitors from other countries and they thus bear part of the tax burden.

3) Increases in the luxury tax causes people (domestic consumers and potential visitors) to go to another country for their luxury purchases.

The effects 1) and 2) create national incentives to set the luxury tax high. If effect 3), which pushes instead towards low tax rates was sufficiently weak then we would get the theoretical prediction that national governments have an overall incentive to set their luxury taxes below the globally optimal level. However, Xie (2016) provides an empirically calibrated model (for portable personal luxury goods) that implies that 3) is actually stronger than 1) and 2) combined. [precise results will be added here soon.] Thus we obtain the conclusion that tax competition distorts national luxury taxes downwards. This provides a strong rationale for a luxury tax at the EU level in order to correct for the forces of tax competition.

5 Effects of EU-wide luxury taxes on global welfare

Some luxury goods such as jewelry have large negative externalities due to the role that precious stones play in financing conflict and in undermining democratic accountability, as the large literature on the "resource curse" has documented. This adds a further reason for why the optimal tax rates on the relevant luxury goods can be expected to be larger than the one calculated (based on signalling/status externalities) above.

Moreover, luxury taxes in the EU could benefit other countries whose luxury tax revenue gets eroded via smuggling by travelers buying luxury goods in the EU: Currently, non-EU residents can get a full refund for their purchases of luxury goods in the EU when they return to their country of residence. This leads to high margins for people who smuggle luxury goods back to e.g. China to resell it there. Given that it is costly to extensively audit travelers, there are strong incentives for people to not declare their purchases to the customs, thereby evading the high taxes, particularly in China. This has led the Chinese government to reduce its luxury good tax rates ² in an attempt to reduce the incentives for smuggling.

This suggests that by abolishing the VAT refunds for departing non-residents, the EU could enable other countries like China to tax luxury goods at the rate that they deem appropriate, thereby benefiting them. To see why, note that potential smugglers weigh the benefits of smuggling, i.e. the margin that they earn by smuggling and reselling in China, against the associated cost, i.e. the stress of doing something illegal and the (small) chance of being caught in audits. The removal of the VAT refunds in the EU would reduce the margin that smugglers earn, thus reducing the number of people who opt for smuggling. Moreover, China could increase its luxury good tax

²Like most of the countries outside of the EU, China has luxury taxes. Since 1994, China has levied a *consumption tax* (CT) on 15 categories of goods—including tobacco, alcohol, cosmetics, jewellery, luxury watches, yachts, and passenger vehicles—collected primarily at the production or import stage rather than at retail (PwC, 2025; China Briefing, 2024). For passenger cars, the CT is graduated by engine displacement, ranging from 1% for engines below 1.0 L to 40% for engines above 4.0 L. In addition, since December 2016, a 10% surcharge applies to "super-luxury" vehicles above a price threshold, originally set at RMB 1.3 million (VAT-excluded) .

by the amount of the current EU VAT refund without increasing the net incentives (and thus the plausible net amount) of smuggling from the EU.

It follows that removing EU VAT refunds would benefit other countries by allowing them to set their luxury good tax rates with less of the distortion created by the smuggling problem. Moreover, it would also directly increase economic welfare by reducing the extent of smuggling, thereby allowing the human labor currently expended on this illegal activity to be redirected to productive uses.

6 Tax reform proposals

6.1 Abolishing the VAT refunds

VAT refunds mostly concern luxury goods, as only for high-value goods it is worth it for consumers to carry them home. Abolishing VAT refunds would have two effects. Firstly, it would increase national tax revenue. Secondly, it would enable the introduction of an EU-wide additive luxury tax.

6.2 Introducing an EU-wide additive luxury VAT as an EU-own resource

Once the VAT refund was abolished then adding a luxury good VAT rate would be administratively cheap. For this, it would be necessary to change EU rules which currently restrict the number of different non-zero VAT rates³.

Each of the changes (VAT refund abolition, additional luxury VAT rate, EU-wide luxury VAT) requires unanimity among EU member states. It is thus crucial to design mechanisms with this unanimity constraint in mind.

Purely from the perspective of aggregate welfare, it might be optimal to substantially differentiate the tax rates on different luxury goods, to the extent that they differ in the degree to which their consumption is motivated by status and the degree to which their consumption is correlated with income and wealth. However, a proposal for a uniform additive EU-wide tax rate with earmarking for common funds, e.g. along the lines proposed further below, might be more easily adopted in a simple form with a uniform rate. The burden of taxes on luxury cars will disproportionately fall on Germany, whereas the burden of taxes on portable luxury goods will disproportionately fall on France. Hence negotiations about rate differentiation will have to some extent a zero-sum character. Having a uniform rate could be a reasonable focal point. Moreover, a uniform rate might lead to a relatively balanced distribution of tax burdens, as the estimates in section ... suggest.

6.3 Alternative implementations

Alternatively to the VAT, luxury could be taxed via ad valorem luxury excises. These can be introduced by member states individually. However, this would be administratively more costly. Given our focus on EU-wide taxes for EU-own resources, we therefore do not consider this alternative tax instrument here and instead focus on an EU-wide additive luxury VAT.

³Alternatively, an ad valorem luxury excise could be introduced with some additional administrative costs. In the absence of progress on EU-wide reforms, this is an option that individual countries can consider, given that they can implement excises unilaterally. However, at the EU-level VAT reform seems cheaper administratively and so we focus on that.

6.4 The (absence of) international legal/legitimacy issues

There appear to be no papers or reports questioning the legality of abolishing VAT refunds. Moreover, when the UK abolished its VAT refund no other countries opposed it.

7 The luxury tax base

Table 1.1: EU-27 spending on high-end and luxury goods and services by sector (2024E/2025), net of VAT and consumption taxes

Sector	EU-27 spending (EUR bn/yr)
Automotive	111
Personal luxury goods	81
Hospitality (hotels, cruises)	54
Yachts	25
Fine wines and spirits	22
Gourmet food and fine dining	18
Design and furniture	11
Total, goods and services	322

Notes: Own calculations. Global sector values from European Cultural and Creative Industries Alliance and Bain & Company (2025) are multiplied by the share purchased in Europe (published for personal luxury goods: 30.3%, D’Arpizio et al., 2024; constructed for other sectors) and by the EU-27 share of Bain’s Europe perimeter (74%; excluding the UK, Switzerland, Turkey and Norway). The automotive figure is the brand-based perimeter; the vehicle-segment luxury tier is roughly EUR 20 bn. The hospitality share is assumed (not published). Memo items outside the ECCIA sector perimeter: art and antiques $\approx$ EUR 5 bn; business aviation $\approx$ EUR 2 bn. The yacht figure is estimated separately as a flow of consumption. It is a territorial (destination-basis) estimate of yacht-related consumption in EU waters for yachts above 10 m, based on the Italian tax introduced in 2012.

8 Revenue potential for EU-wide additive luxury taxes

For each category, let us assume that pre-tax prices are unaffected by the luxury taxes.⁴ Consider the case of a luxury good (e.g. luxury cars) that is bought only by residents. Let us assume that the demand has constant price elasticity denoted by ϵ . Denoting the pre-tax price of the good by p , the country i ’s own ad valorem⁵ tax on luxury goods by t_i and the additive EU-wide VAT by t_{EU} . Then we can write the quantity consumed in terms of the status quo value, denoted Q_i^0 :

$$Q_i = Q_i^0 \left(\frac{1 + t_i + t_{EU}}{1 + t_i} \right)^\epsilon$$

Let $T_{i,EU}$ denote the revenue from the EU-wide tax collected by country i . We get:

$$T_{i,EU} = t_{EU} p Q_i = t_{EU} p Q_i^0 \left(\frac{1 + t_i + t_{EU}}{1 + t_i} \right)^\epsilon$$

⁴This happens in monopolistic competition models, used e.g. by Xie (2026) for the analysis of luxury good taxation.

⁵This includes both VAT and excises if they exist.

Now denoting by R_i^0 the status quo spending on the luxury good category by country i , we get $R_i^0 = pQ_i^0(1 + t_i)$. Given our assumption that both the pre-tax price p and the country's own tax rate are unaffected by the EU-wide additive ad valorem tax, we can thus write:

$$T_{i,EU} = t_{EU} \frac{R_i^0}{1 + t_i} \left(\frac{1 + t_i + t_{EU}}{1 + t_i} \right)^\epsilon$$

Rearranging gives:

$$T_{i,EU} = \frac{t_{EU}}{1 + t_i + t_{EU}} R_i^0 \left(\frac{1 + t_i + t_{EU}}{1 + t_i} \right)^{1+\epsilon}$$

8.1 Calibrating the price elasticity of demand for luxury goods

For portable personal luxury goods, arguably the most directly relevant tax-base elasticity comes from the UK Office for Budget Responsibility's review of the abolition of the VAT Retail Export Scheme (OBR, 2024). The OBR's original 2020 costing assumed an elasticity of -1.9 , itself a 50% scale-up of a UK tourism elasticity of -1.28 intended to capture the greater price-sensitivity of tax-free luxury shoppers; on review the OBR judged this too high and revised its central estimate to approximately -1.2 . It is important to read this figure for what it measures: a *tax-base* elasticity that bundles the pure consumption response together with the diversion of tourist purchases to competing destinations—above all to Paris and Milan, which retained tax-free shopping when the UK withdrew it. The estimate is therefore dominated by a *destination-substitution* margin that is specific to a unilateral national measure.

For an EU-wide luxury surcharge the relevant elasticity is likely to be substantially smaller in absolute value. The -1.2 estimate is large precisely because a non-EU visitor deciding where to buy a handbag could avoid the UK price increase by purchasing in another European capital at no cost to their itinerary; the tax fell on one destination while its closest substitutes remained untaxed. A harmonised surcharge applied simultaneously across all 27 member states closes exactly this margin: intra-EU relocation of purchases no longer avoids the tax, and only the two weaker channels remain—genuine reductions in consumption, and diversion to destinations outside the EU (principally the UK, Switzerland, and the Gulf and Asian luxury hubs). Since a large share of the leakage embodied in the OBR figure is intra-European, the own-price elasticity of the EU-wide tax base should be expected to lie well below 1.2 in magnitude, closer to the underlying consumption elasticity of personal luxury goods, with only a modest additional wedge for extra-EU diversion.

We can also get some theoretical prior on ϵ : we know for "pure diamond goods" (Ng 1984), i.e. goods where the only motivation is signaling via the spending, that $\epsilon = -1$. For the realistic case where consumers are also motivated in part by the intrinsic enjoyment of the good, the elasticity can be below or above -1 . The econometric estimates find demand to be inelastic, i.e. less elastic than -1 :

8.2 A conservative revenue estimate for $t_{EU} = 0.2$ based on an assumption that $\epsilon = -1$

Let us consider the case where $\epsilon = -1$ for each of the luxury categories. This assumption is conservative as far as the revenue potential is concerned: The evidence provided above suggests that $\epsilon > -1$, which would imply more tax revenue from the EU-wide additive tax. Thus let us

Table 1.2: Category-level own-price elasticities of demand, luxury-relevant categories

Category	Category-level price elasticity of demand	Source
Jewellery & watches (US, PCE aggregate, 1947–2004)	−0.38 short run; −0.17 steady state	Taylor & Houthakker (2010), <i>Consumer Demand in the United States</i> , 3rd ed., Table 15.15, doi:10.1007/978-1-4419-0510-9
Gold imports, jewellery-dominated (India, aggregate)	≈ -0.5 to -1.0 long run; more elastic in the short run ^a	Kanjilal & Ghosh (2014), <i>Resources Policy</i> 41, 135–142, doi:10.1016/j.resourpol.2014.05.003
Wine (aggregate consumption)	−0.69 (mean of reported estimates)	Wagenaar, Salois & Komro (2009), <i>Addiction</i> 104(2), 179–190, doi:10.1111/j.1360-0443.2008.02438.x
Spirits (aggregate consumption)	−0.80 (mean of reported estimates)	Wagenaar, Salois & Komro (2009), <i>ibid.</i>
New passenger vehicles (US, whole market)	−0.34 (long run)	Leard (2022), <i>J. Assoc. Environ. Resour. Econ.</i> 9(1), 27–49, doi:10.1086/715814

Notes: Only estimates at whole-category aggregation are included, as inter-brand substitution inflates $|\epsilon|$ relative to the response to a category-wide tax.

focus on the case $\epsilon = -1$. We get from the formula derived above the tax revenue from the EU-wide tax as a function of the status quo consumer spending R_i^0 , the status quo national tax rate t_i and the EU-wide tax rate t_{EU} , :

$$T_{i,EU} = R_i^0 \frac{t_{EU}}{1 + t_i + t_{EU}}$$

We see that the amount of tax revenue that the EU-wide tax rate generates increases in the tax rate t_{EU} and approaches \$322**billion** as the tax rate goes to infinity.

Let us now compute the tax revenue for the case where all EU country have a tax rate on luxury goods equal to the average statutory rate, i.e. 22% (<https://taxfoundation.org/data/all/eu/value-added-tax-vat-rates-europe/>):

$$\sum_{i \in EU} T_{i,EU} = \sum_{i \in EU} R_i^0 \frac{t_{EU}}{1 + 0.22 + t_{EU}} = \$322\text{billion} \frac{t_{EU}}{1.22 + t_{EU}}$$

Consider the case where we set $t_{EU} = 0.2$ so that the overall ad valorem tax rate is equal to 42%, the (conservatively estimated) optimal rate according to Xie (2026). Then we get for the aggregate revenue collected via the EU-wide luxury tax:

$$\sum_{i \in EU} T_{i,EU} = \$322\text{billion} \frac{0.2}{1.42} = \$45\text{billion}$$

8.3 Further revenue potential

The revenue estimate of \$45**billion** that we just provided is conservative in at least two ways: Firstly, the (surprisingly weak) empirical evidence surveyed above is consistent with the demand actually

being substantially less elastic than our assumed number of $\epsilon = -1$. This would imply that the maximal theoretically achievable *revenue potential* is larger than the \$345 that we have for $\epsilon = -1$.

Of course, the socially optimal tax on luxury goods is likely much below the rate that maximizes tax revenue. At some point, excessively high luxury tax rates could reduce work incentives for those of the high-earners that are motivated by the intrinsic enjoyment that they derive from consuming luxury goods. However, given that the tax progressivity in the EU has been pushed down by tax competition for people with high income and wealth, the optimal tax on luxury goods is likely substantially above the 42% that is justified by status externalities alone. In fact, in the theoretical scenario where the price elasticity of overall luxury demand is close to 0, the luxury tax can make up for most of the lack of progressivity of the income and wealth taxation in the EU.

Quantifying the overall optimal luxury tax is beyond the scope of this report. However, let us illustrate the revenue potential under the above assumptions:

For the additive EU-wide luxury tax of $t_{EU} = 0.4$ the tax revenue would be \$80 billion.

For the additive EU-wide luxury tax of $t_{EU} = 0.6$ the tax revenue would be \$106 billion.

9 Tax revenue estimates by EU member states

As motivated above, this report proposes the use of a uniform EU-wide tax rate across all luxury goods to fund the EU budget as an own resource. One important design choice implicit in this proposal is to bundle all the luxury tax bases together, rather than putting forward luxury taxes on specific categories as separate proposals. The following estimates provide one of the motivations for such a broadly bundled approach by showing that the tax revenue collected and thus contributed to the EU budget is not that far away to being proportional to GDP.

This purely descriptive finding suggests that the proposal has some promise for garnering unanimity if countries are well-informed about their self-interest, under two reasonable assumptions. Firstly, let us assume that the benefits from the EU spending is roughly proportional to GDP. This is plausible for international public goods like pandemic prevention and preparedness that the EU contributes to. Secondly, let us assume that the tax burden is roughly proportional to the tax revenue collected. This latter assumption is not necessarily accurate as there are other components in the overall tax burden, most notably profits and international shifting of consumers. However, the proportionality assumption likely provides a first decent approximation for the distribution of tax burdens across countries.

Under these two assumptions, it follows that at a given overall benefit cost ratio of the proposed reform (additive EU-wide luxury tax to fund EU budget) is more likely to garner unanimity if the ratios of tax revenue to GDP are less dispersed across countries. To see why, note that the impact of additional own resources is to either expand EU spending or to replace the residual contributions that are proportional GDP. If all countries had the same ratio of tax revenue collected to GDP than rational voting behaviour would yield unanimity as long as the aggregate benefit cost ratio exceeds 1. This is highly plausible, as we will argue below.

We use the definition of a luxury good/service via the list of categories provided above (Automotive, Personal luxury goods, Hospitality (hotels, cruises), Yachts, Fine wines and spirits, Gourmet food and fine dining, Design and furniture). Thus the following estimates are the aggregates across all these categories.

We see that, setting aside the small countries Cyprus and Malta⁶, the maximal ratio of a

⁶where maybe correspondingly small ad hoc transfers could buy their votes

Member state	Base €bn	Rev. %	GDP %	Ratio	Member state	Base €bn	Rev. %	GDP %	Ratio
France	62.0	20.7	16.3	1.27	Romania	3.2	1.1	2.2	0.49
Germany	57.7	19.3	24.5	0.79	Finland	2.9	1.0	1.6	0.61
Italy	56.5	18.9	12.3	1.54	Hungary	2.5	0.9	1.1	0.78
Spain	30.9	10.3	8.7	1.19	Croatia	2.3	0.8	0.5	1.55
Netherlands	11.0	3.7	6.0	0.61	Luxembourg	1.8	0.6	0.5	1.21
Austria	9.9	3.3	2.8	1.18	Bulgaria	1.6	0.5	0.6	0.88
Belgium	9.8	3.3	3.5	0.93	Cyprus	1.5	0.5	0.2	2.44
Poland	8.0	2.7	4.7	0.57	Slovakia	1.3	0.4	0.7	0.63
Sweden	7.1	2.4	3.0	0.79	Slovenia	1.1	0.4	0.4	0.93
Portugal	6.4	2.1	1.6	1.34	Malta	0.9	0.3	0.1	3.11
Greece	6.3	2.1	1.3	1.61	Lithuania	0.8	0.3	0.5	0.53
Czechia	4.6	1.5	2.0	0.77	Estonia	0.5	0.2	0.2	0.91
Denmark	4.2	1.4	2.3	0.62	Latvia	0.5	0.2	0.3	0.55
Ireland	3.8	1.3	3.0	0.43	EU-27	299	100	100	

Table 1.3: EU-27 luxury tax base by member state, €bn per year, net of VAT. “Rev. %” is the share of total revenue collected; “GDP %” the member state’s share of EU-27 GDP in 2024; “Ratio” the former divided by the latter. The estimates apply to the case of a small tax, where tax revenues are proportional to the status quo tax base. The estimates use data from Eurostat(2024) , ACEA (2026), ECCIA–Bainreport (2025) but involve many approximations and ad hoc assumptions that would take too much space to detail here. All details are available upon request.

country’s implied share of luxury tax revenue contributed to the EU to its share of EU GDP is 1.61 (see Greece). Thus under rational voting behaviour (and the above assumption) unanimity holds iff 1 euro of spending by the EU yields at least 1.61 in benefits for eu countries overall.

In reality, the probability of unanimity is of course not just determined by the largest relative tax burden given that countries at somewhat lower relative tax burdens (e.g. Croatia) could also oppose the reform. Thus, broadly it is favorable for unanimity to have a low dispersion in the ratio of tax revenue share to GDP share. It turns out that this dispersion is 36% lower than the average dispersion that would result if we considered each of the sectors separately⁷. The reason for this is that the sectors are far from being perfectly correlated. For example Germany bears a disproportionate part of the burden from luxury car taxation and a relatively small part of the burden from personal luxury good taxation, whereas France bears a disproportionate part of the burden from personal luxury good taxation and a relatively small part of the burden from luxury car taxation.

⁷ A standard way of measuring the dispersion is via the GDP-weighted coefficient of variation of the ratio. For this we get: A base-weighted average of the sector variances would imply an aggregate CV of 0.557; the actual aggregate CV is 0.354. Roughly 36% of the dispersion cancels when the sectors are combined.

10 The case for using EU-wide luxury taxes as EU own resources

Tax competition between EU member states undermines the unilateral incentives for EU countries to introduce and raise luxury taxes. This international spillovers suggest that there might be aggregate gains for EU member states to jointly increase luxury good taxes even if it is not in the individual interest of any country to do this individually. This motivates the proposal to introducing a new EU-wide ad valorem luxury excise. Empirically calibrated modeling (Xie 2026, forthcoming) suggests that there are already some countries who would benefit from unilaterally introducing luxury taxes. However, the collective economic gains from luxury taxes are much larger.

The introduction of such a new additive EU-wide luxury VAT⁸ requires unanimity between member states for EU-wide adoption⁹. For this it is, other things equal, favorable if the revenue raised creates large collective benefits. Thus it could be the case that using the tax revenue for the EU budget as an own resource, as we propose, could actually make it more likely that all member states vote for it.

10.1 The marginal benefits from EU spending

11 Possible objections

11.1 Why bundle addressing tax competition and funding international public goods?

The proposed "tax and earmark scheme" purports to simultaneously address two current inefficiencies: 1) suboptimal luxury good tax rates driven by tax competition and 2) suboptimal funding for international public goods (including EU-internal international public goods).

Alternatively, one could have two separate EU-wide policy reforms, each addressing one of these problems: Firstly, one could have a scheme where an EU-wide luxury tax gets introduced and each member state gets to keep its revenue. Secondly, one could have a scheme where each member state has to contribute additional funding for eligible international funds (where eligibility could be determined via a voting mechanism as sketched above for the tax and earmark scheme), e.g. in proportion to its GDP. One could call this alternative the "separation approach", with a separate vote for each of them at the EU level (each requiring unanimity).

This separation approach has been the dominant approach, both globally and at the EU level. For example, the Global Minimum Tax on corporate income does not impose any earmarking conditions. Instead, it focuses on addressing a race-to-the bottom in corporate income tax rates and relatedly, the inefficiency of transfer-pricing based tax avoidance. Funding of global funds for global public goods and redistribution is generated separately from any tax coordination. It is based on voluntary contributions and, in the case of the UN institutions, partly on assessed contributions calculated in proportion to GDP that countries have to pay to keep their voting rights at the UN general assembly.

⁸similarly for other taxes such as excises. Given the above-mentioned administrative cost advantages of VAT, we focus on the VAT implementation.

⁹Enhanced cooperation could also be explored. However, luxury taxation becomes more costly if only a subset of EU countries participates, given the induced displacement of the luxury consumption to EU countries that do not participate.

Similarly, at the EU level, the separation approach has been the dominant one. Most existing mechanisms for tax coordination impose rules on member states without any earmarking obligations. For example, there are restrictions on the set of VAT rates that member states are allowed to impose. Mostly, tax revenues are retained by member states. Small exceptions include the EU-wide plastic tax that addresses an international externality that contributes to the EU budget. However, most of the funding for the EU budget comes from GNI-based contributions and tax-based contributions (e.g. the required 0.3% of VAT tax base) do not (aim to) address tax competition or other under-taxation issues.

In the case of the EU, the separation approach might be motivated as follows. If the international public goods that the EU budget in part provides generate benefits that are roughly proportional to countries' GDP then funding them via GDP-based contributions (or VAT base contributions that themselves are roughly proportional to GDP) ensures that all countries are better off as a result, as long as the international public goods yield more than 1 EUR in aggregate benefits per 1 EUR spent on them, a condition synonymous with under-provision, which clearly is the case we are in.

However, benefits from the international public goods might not be exactly proportional to GDP. In this case, unanimous support can only be achieved if the ratios of shares of benefits to the shares of GDP are not too heterogeneous across EU member states. More generally, a scheme for funding international public goods by requiring certain contributions by member states (e.g. GDP-based or tax-earmarking based as in tax and earmark scheme that we propose) will get unanimous support iff the following two conditions are satisfied:

1) the aggregate ratio of benefits to costs exceeds 1 by a sufficient amount. 2) the individual ratios of "share of benefits divided by share of costs" are not too heterogeneous. (Or more precisely, the lowest of these ratios is not too small¹⁰.)

Given a score (i.e. an aggregate ratio of benefits to costs) on 1), there will be unanimity as long as the score under 2) is sufficiently good and vice versa. This is a purely arithmetic decomposition, but it is helpful for assessing the prospects for unanimity. Under the case of the luxury-tax-and-earmark-scheme, the aggregate ratio of benefits to costs is going to be larger than under a GDP-based funding scheme that achieves the same allocation to international funds. This is because the luxury tax taps into a tax base that, due to the reasons laid out above, is undertaxed, and hence a dollar of tax revenue generates less than a dollar of aggregate costs. For the case of portable luxury goods, Xie 2026 estimates the ratio of aggregate cost per dollar of revenue from an EU-wide luxury tax at ... for small EU-wide tax rates [results coming soon].

It follows from the fact that the luxury-tax-and-earmark-scheme scores substantially better on 1) than the classical GNI-based contribution scheme that as long as it is not much worse under 2), it is more likely to garner unanimous support. For an optimized allocation of money to different international funds, it seems plausible that the ratios of the shares of benefits to the shares of costs is less heterogeneous under the GNI-based contribution scheme than under the luxury-tax-and-earmark-scheme. However, under the luxury-tax-and-earmark scheme countries can themselves decide on how to earmark their revenue, so the benefit share will be positively correlated with the tax revenue shares. Given that the latter are positively correlated with the cost shares, the benefit share will likely be quite correlated with the cost shares. Hence the tax-and-earmark-scheme might not score that badly under 2).

¹⁰This is the precise condition for clearing a unanimity vote, assuming that countries vote exactly according to their own national interest. However, if there are some other considerations determining the votes, then it also matters whether there are other countries for which the ratios are small.

11.2 A general argument in favor of the bundled approach

A further argument in favor of the bundled approach exemplified by the tax-and-earmark scheme is that it can alleviate tax competition on other (potentially hard to contract on) tax instruments, in contrast to the separated approach. Specifically, consider the scenario where (under a separated approach) a minimum tax on luxury goods has been adopted at the EU level, where members states are obliged to impose it but can fully retain the tax revenue from it. Such a scheme would increase the value for each government of attracting top earners that buy luxury goods as fiscal residents, given that now the government will collect the luxury tax on this. As a result, the tax competition forces that depress top income tax rates in the EU (Munoz, Kleven) would get intensified.

This is in stark contrast to the case of the tax-and-earmark scheme. In that case, the new luxury tax revenue would not generate a strong additional incentive for EU countries to attract high earners. To see why, note firstly that each government in the EU will value a dollar collected in revenue from the common luxury tax at typically much less than 1 dollar, given that it cannot retain it and given that only a small part of the international public good benefits accrue to any given country. Moreover, if high earners move to other EU countries, they will also generate this luxury tax revenue for the international public goods, further reducing a given government concern for attracting high earners from other EU countries. As a result, the tax-and-earmark scheme would not substantially aggravate top income tax competition within the EU, in contrast to the separated approach.

12 An alternative architecture that could be considered (*it's okay to cut this out*)

We have seen above that a uniform EU-wide luxury tax results in less dispersion in tax revenue relative to GDP if it is levied on all luxury good categories than if it is levied on individual luxury categories. This provided the motivation for the broad proposal that includes all luxury categories on the grounds that its more balanced incidence would make it more likely to achieve unanimity among EU member states.

However, the question arises as to whether the substantial remaining dispersion in tax revenue to GDP ratios (and, plausibly therefore in the relative incidence) could be compensated via a modified earmarking mechanism. In the classical EU-own-resources architecture that we have proposed to embed the EU-wide luxury tax in, countries cannot directly influence how the tax revenue that they contribute to the EU budget is used. In this section, we explore an alternative architecture whereby member states would be allowed to earmark the tax revenue that they collect to different international funds recognized to be eligible via a EU-wide qualified majority vote with all member states. Under this architecture, the countries bearing the highest incidence from the tax would typically have the most revenue to earmark, making it more attractive for them to vote in favor of the proposal.

Given that only EU countries would decide (via a vote) on which international funds would be considered eligible for receiving funding from the EU-wide additive luxury tax, it is likely that these eligible funds will mostly be focused on EU-internal international public goods or will restrict their transfers to EU countries (e.g. a jurisdictional reward fund for renewables expansion within the EU, as discussed below). This is particularly plausible if aviation taxes are introduced (see the other appendix) and earmarked to global funds.

An appropriate division of roles would emerge: in the case of aviation, there is an international legitimacy constraint due to the norms against unilateral extraterritorial taxation. Therefore, it is best that the tax revenue be earmarked to global funds addressing global public goods and transferring money to LMICs. In the case of luxury goods, on the other hand, no legitimacy problems appear to exist. It is therefore permissible for luxury tax revenue to be used for international funds benefitting particularly EU countries.

As an alternative to directly channelling the EU-wide luxury tax revenue to the EU budget, we consider here an alternative architecture. This architecture involves defining an EU-wide voting rule to determine a set of "international funds" that EU member states could earmark the luxury tax revenue to. The definition is agnostic about what these "international funds" would be, given that it will be determined via the voting. However, in reality it is likely that they will be fund focused on international externalities that particularly benefit EU countries and that they will be dedicated to improving international public good provision (e.g. climate change mitigation) within the EU. This is because such international funds will inevitably create rents for the countries that they reward so EU countries have a particular incentive to vote in favor of such "EU-focused" international funds.

Definition 1 *The "EU-wide luxury tax scheme with individual earmarking to international funds" (in short: the "tax and earmark scheme") is defined as follows: A set of goods is classified as luxury goods (e.g. via methods commonly used in China, India and other countries, e.g. based on a threshold for the per item price). There is a set of tax rates. All EU member states are obliged to apply these luxury taxes and earmark the entire revenue to eligible international funds.*

The set of eligible funds is updated as follows: at any time, any EU member state can nominate any international fund for a vote. If a qualified population-weighted majority of EU member states vote for the international fund then it gets recognized as eligible, otherwise not.

12.1 Examples of possible international funds

A fund forwarding money to the EU budget This fund would simply forward any money it receives to the EU budget.

A fund to repay the EU debt

This fund would simply forward any money it receives to repay the EU debt.

Jurisdictional reward funds for renewable energy expansion within the EU

Such a fund would reward governments if the ratio of renewable energy expansion to GDP exceeds some universal threshold and each kw of renewable expansion of this threshold would be rewarded at the same rate. Governments that face internal pressure due to high ETS prices could find it attractive to donate to such a fund as it would allow the EU to reach its climate target at lower ETS prices, thus making it more likely that the targets will be maintained. For example, when some political actors call for weakening the EU climate targets on the grounds that high electricity prices risk further de-industrialization, governments could respond by earmarking their tax revenue in the tax-and-earmark scheme to the JRF for renewable energy expansion within the EU. This would lower electricity prices, thereby increasing industrial competitiveness without compromising the climate targets.

Jurisdictional reward funds for border-crossing electricity transmission grids within the EU

Since the benefits of cross-border infrastructure is shared, there tends to be a systematic underprovision (even setting aside the climate externalities) (cite Felbermayr).

Other valuable international funds could include other jurisdictional reward funds (JRFs) for policies or outcomes for climate change mitigation (e.g. for cross border railway expansion), but also JRFs for other global public goods like pandemic prevention and preparedness.

12.2 Incentives to vote for the "EU-wide luxury tax scheme with individual earmarking to international funds"

Each member state will value different international funds differently. Under the tax-and-earmark scheme, each country can decide on which international fund to earmark the revenue. Typically, the countries collecting the most tax revenue also bear the greatest tax burden. Thus the fact that they also get to decide on the corresponding amount of revenue allocation makes the costs and benefits more balanced than in the traditional setup where EU own resources get allocated centrally by the EU. This will make it more likely that the scheme will garner unanimous support from EU member states.

12.3 Effects on the political debates

Under this architecture of an EU-wide tax-and-earmark scheme and voting on fund eligibility, criticism against any international fund can be productively channeled into the design and evaluation of alternatives. Countries could individually set up new international funds and then convince other countries that it is in their interest to vote in favor of these funds to be added to the set of those eligible to receive funding via the tax-and-earmark scheme. International funds generating a lot of benefits per dollar spent would most likely garner the support to clear the qualified majority threshold in the eligibility vote.

The architecture could mitigate international externalities while preserving the sovereignty inherent in the right to earmark the tax revenue to any of the eligible international funds. This could reduce the risk of resentment against the EU.

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